



Zebra Technologies First Quarter 2020 Results

April 28, 2020

Safe Harbor Statement

Statements made in this presentation which are not statements of historical fact are forward-looking statements and are subject to the safe harbor provisions created by the Private Securities Litigation Reform Act of 1995. Actual results may differ from those expressed or implied in the company's forward-looking statements. Zebra may elect to update forward-looking statements but expressly disclaims any obligation to do so, even if the company's estimates change. These forward-looking statements are based on current expectations, forecasts and assumptions and are subject to the risks and uncertainties inherent in Zebra's industry, market conditions, general domestic and international economic conditions, and other factors. These factors include customer acceptance of Zebra's hardware and software products and competitors' product offerings, and the potential effects of technological changes. The continued uncertainty over future global economic conditions, the availability of credit, capital markets volatility, may have adverse effects on Zebra, its suppliers and its customers. In addition, a disruption in our ability to obtain products from vendors as a result of supply chain constraints, natural disasters, public health issues (including pandemics), or other circumstances could restrict sales and negatively affect customer relationships. Profits and profitability will be affected by Zebra's ability to control manufacturing and operating costs. Because of its debt, interest rates and financial market conditions will also have an impact on results. Foreign exchange rates will have an effect on financial results because of the large percentage of our international sales. The outcome of litigation in which Zebra may be involved is another factor. The success of integrating acquisitions could also affect profitability, reported results and the company's competitive position in its industry. These and other factors could have an adverse effect on Zebra's sales, gross profit margins and results of operations. Descriptions of the risks, uncertainties and other factors that could affect the company's future operations and results can be found in Zebra's filings with the Securities and Exchange Commission. In particular, please refer to Zebra's latest filing of its Form 10-K and Form 10-Q. This presentation includes certain non-GAAP financial measures and we refer to the reconciliations to the comparable GAAP financial measures and related information.

Agenda

01

Q1 Highlights

Anders Gustafsson, CEO

02

Q1 Financials and Q2 Outlook

Olivier Leonetti, CFO

03

Advancing our Vision, Market Trends

Anders Gustafsson, CEO

04

Q&A

Anders Gustafsson, CEO | Olivier Leonetti, CFO | Joe Heel, SVP Global Sales

First-Quarter 2020 Highlights

- As COVID-19 evolved to a global pandemic in March, we experienced greater-than-anticipated supply and demand impacts to our operations
 - Supply chain challenges globally, including the temporary closure of a key N.A. distribution center in late March, driving a high order backlog entering Q2
 - Softening demand through the channel globally, particular weakness in China
- Net Sales declined 1% vs.1Q19
 - Sharp decline in APAC and LatAm regions
 - Solid growth in EMEA as we managed through supply chain challenges
 - N.A. region flat, impacted by temporary distribution center closure in late March
- Our competitive positioning remains strong; compelling wins
- Adjusted EBITDA margin of 19.1%, a 200bp year-over-year decrease
 - As expected, gross margin decline impacted by tariffs, and expedited freight related to COVID-19 disruption
 - Unfavorable large order mix also impacted gross margin
 - Prudent cost management mitigated sales volume decline
- Non-GAAP diluted EPS of \$2.67, down 9% from 1Q19



Agenda

01

Q1 Highlights

Anders Gustafsson, CEO

02

Q1 Financials and Q2 Outlook

Olivier Leonetti, CFO

03

Advancing our Vision, Market Trends

Anders Gustafsson, CEO

04

Q&A

Anders Gustafsson, CEO | Olivier Leonetti, CFO | Joe Heel, SVP Global Sales

First-Quarter P&L Summary⁽¹⁾

In millions, except per share data	1Q20	1Q19	Change
Net Sales	\$1,052	\$1,066	(1.3)%
Organic Net Sales Growth ^(2,3)			(0.8)%
Adjusted Gross Profit	\$475	\$503	(5.6)%
Adjusted Gross Margin	45.2%	47.2%	(200) bps
Adjusted Operating Expenses	\$292	\$297	(1.7)%
Adjusted EBITDA	\$201	\$225	(10.7)%
Adjusted EBITDA Margin	19.1%	21.1%	(200)bps
Non-GAAP Diluted EPS	\$2.67	\$2.92	(8.6)%

SEGMENT ORGANIC SALES GROWTH^(2,3)

EVM Segment (2.9)%

AIT Segment +3.2%

REGIONAL ORGANIC SALES GROWTH^(2,3)

North America (0)%

EMEA +7%

Asia Pacific (21)%

Latin America (11)%

EBITDA and EPS DECLINE

Lower gross margin due to \$7M tariffs (net impact), \$4M expedited freight, and unfavorable business mix; partially offset by lower op exp

⁽¹⁾ Refer to the appendix of this presentation for reconciliations of GAAP to non-GAAP financial results

⁽²⁾ Assumes constant FX to prior-year period

⁽³⁾ Excludes revenue from acquisitions for the 12 months following each respective acquisition date

Balance Sheet and Cash Flow Highlights



Cash Flow

- \$95M free cash flow 1Q20
- Lower use of working capital the primary driver of \$68M higher free cash flow vs 1Q19
- \$200M share repurchases in 1Q20 (\$753M remaining under the 7/30/19 authorization)
- Net borrowings of \$121M in 1Q20



Liquidity and Debt

- \$24M in cash & cash equivalents as of 1Q20
- \$1.4B total debt on balance sheet as of 1Q20
- \$740M capacity under revolving credit facility
- Net-debt-to-adjusted-EBITDA ratio of 1.5x

Zebra Equipped to Navigate a Challenging Global Environment

- Fortress Balance Sheet
 - \$1B revolving credit facility maturing Aug 2024 supported by diversified bank group with strong ratings
 - 1.5x net debt to adjusted EBITDA ratio
 - Share repurchase authorization a flexible mechanism to return capital to shareholders
- Highly diversified business: global footprint, broad product & solution set, increasingly diverse end-markets
- Capital Light Business Model with < 20% Fixed COGS Profile
 - Outsource vast majority of product manufacturing to reputable third parties
 - ~ 80% of sales volume channeled through third party resellers
- Strong Free Cash Flow Profile
 - Flexible cost structure preserves free cash flow in challenging times
 - Capital expenditures < 1.5% of sales
- Track Record of Preserving Profitability in Challenging Times
 - Zebra takes proactive actions to preserve profits and cash flow; have playbook for appropriately curbing discretionary spend
 - Plan to extend industry leadership position by continuing strategic investments as competitors potentially retrench

Outlook & Assumptions

2Q20

- Expect net sales decline of 11-17% due to anticipated recessionary global environment
 - ~50 basis point additive impact from recently acquired businesses⁽¹⁾
 - ~ 1 percentage point negative impact from FX
- Adjusted EBITDA margin range 18% to 19%
- Non-GAAP diluted EPS range \$2.10 to \$2.50
- ~ \$9M gross profit impact from mitigating supply chain impacts from COVID-19 (primarily expedited freight)
- ~ \$5M gross profit net impact from List 4 tariffs

FY20

- Withdrawing outlook for net sales, adjusted EBITDA margin, and free cash flow
- Expect net sales decline due to anticipated recessionary global environment
 - ~ 30 basis point additive impact from recently acquired businesses⁽¹⁾
 - ~ 1 percentage point negative impact from FX
- Expect lower EBITDA margin and free cash flow than FY19 due to lower sales volumes, partially mitigated by appropriate cost actions
- Capital expenditures ~ \$60-65M (including ~ \$10M related to our global product sourcing diversification initiative)
- Depreciation ~ \$70-72M and Amortization ~ \$65M
- Stock-based compensation expense \$35-45M
- Pre-tax cost of debt ~ 3%
- Non-GAAP tax rate ~ 16%
- ~ \$12M gross profit net impact in 1H20 from List 4 tariffs
- ~ \$20M of one-time charges (pre-tax) in 1H20 related to our global product sourcing diversification initiative

Reduced expectations for 2020 entirely attributable to anticipated global economic impacts from COVID-19 pandemic

(1) Refers to additive impact to growth rate for the 12 months following each respective acquisition date; Cortexica Vision Systems Ltd. acquired on November 5, 2019 and Profitect Inc. acquired on May 31, 2019

On Track to Mitigate Sec 301 Tariffs by Mid-2020

- Zebra has been manufacturing the majority of products in China, like many other tech companies
- Sec 301 tariffs (customs duties) impact the U.S. imports of Chinese-sourced goods
- Zebra continues to move forward with global product sourcing diversification plans
 - Working with our contract manufacturing partners to replicate production lines, in order to move most of our U.S. imports to broader Asia
 - For 1H20 expecting ~\$20M of one-time charges (pre-tax) plus ~\$10M capex investment; FY2019 expense was \$5M
- List 4: On track to substantially mitigate by mid-2020, some modest delays due to COVID-19
 - Effective February 15th: 7.5% tariff on printers and non-cellular mobile computers; reduced from 15% which has been in effect since September 1st
 - \$7M gross profit unfavorable net impact in 1Q20, moderating to ~\$5M in 2Q20 as we ramp up alternate sources of supply outside of China
- Lists 1-3: Mitigation actions complete; tariffs impacted certain Zebra scanners, components, and accessories

Agenda

01

Q1 Highlights

Anders Gustafsson, CEO

02

Q1 Financials and Q2 Outlook

Olivier Leonetti, CFO

03

Advancing our Vision, Market Trends

Anders Gustafsson, CEO

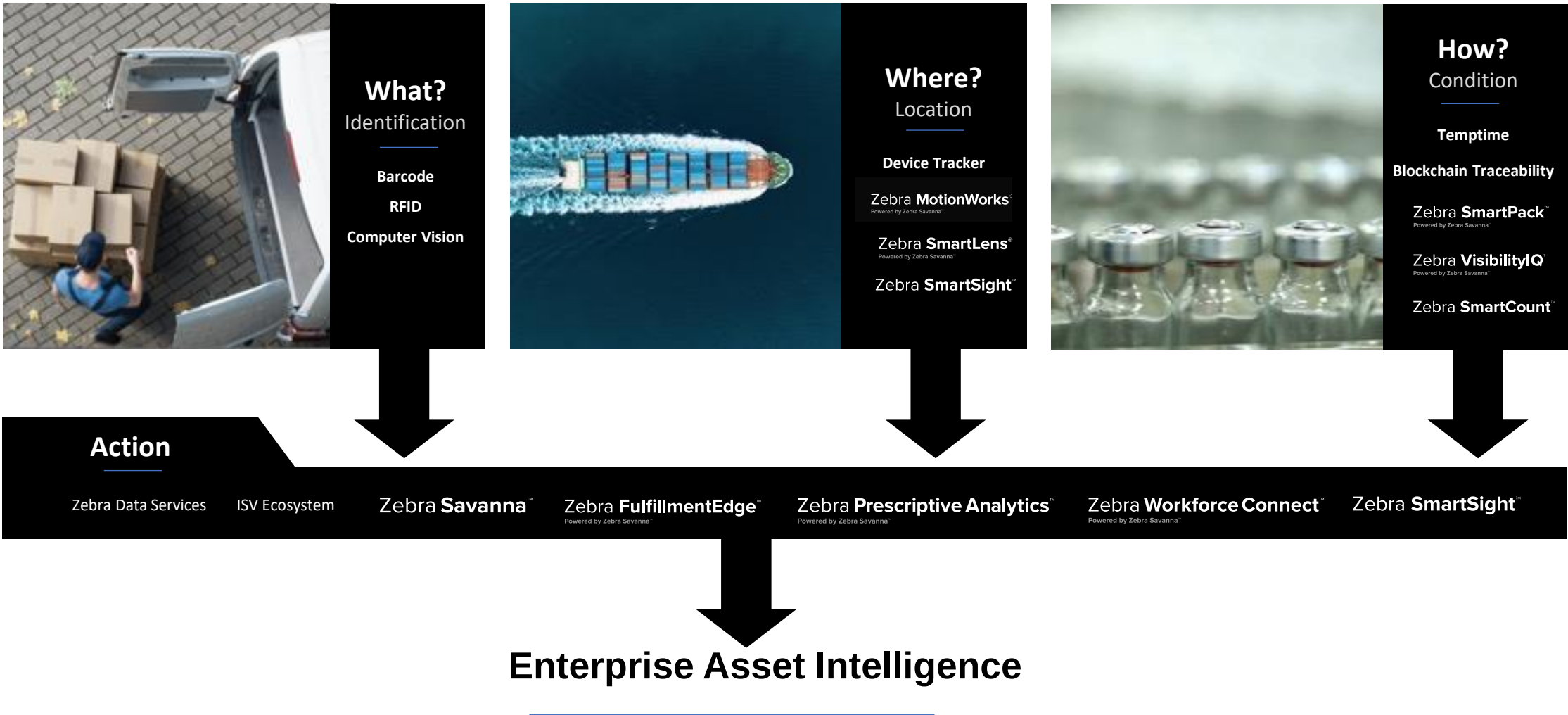
04

Q&A

Anders Gustafsson, CEO | Olivier Leonetti, CFO | Joe Heel, SVP Global Sales

Actionable Insights Powered by Zebra Products, Software, Solutions & Services

Improve operations by putting data to work in near-real time

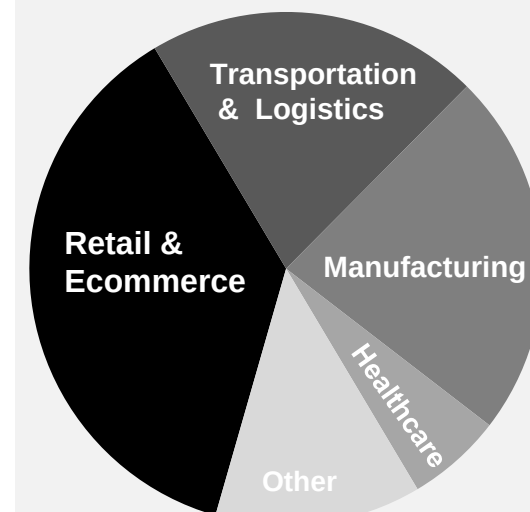


Every asset and worker on the edge is visible, connected and optimally utilized

Mixed Demand Impacts in our Diversified End Markets

Market Served	Current Key Drivers	Longer-Term Opportunity
Healthcare	↑ Acute care scaling up capacity ↑ Our solutions used for COVID-19 response: pop-up hospitals, drive thru testing, lab management ↓ Elective care temporarily on hold	• Strongest performing vertical end market • Our purpose-built solutions are critical • Transformation to accelerate post-COVID-19 (e.g. remote patient care, mobility, contact tracing)
Retail / Ecommerce	↑ Mass merchant, grocery, e-tail subsectors deemed essential (~2/3rds of Zebra's retail vertical sales) ↑ BOPUS and delivery use cases expanding ↓ Brick & mortar reliant department stores and apparel retailers challenged with stay-at-home orders ↓ Push-outs on certain projects requiring demos/trials	• Step change of consumer acceptance of omnichannel/ecommerce during pandemic • Continued investment in tech and automation necessary for retail model transformation • Customers using Zebra Prescriptive Analytics to diagnose and resolve front-line issues in real time
Transportation & Logistics	↑ Stay-at-home orders driving increased ecommerce demand; 3PL and couriers delivering the essentials ↓ Aviation/auto passenger transport challenged	• Small parcel delivery continues to grow exponentially with ecommerce • Last mile fulfillment increasingly important • Supply chain efficiency and resiliency gaps highlighted during pandemic need to be addressed through intelligent automation
Manufacturing	↑ Process manufacturing (e.g. food, pharma) remains essential ↓ Discrete manufacturing (e.g. aviation, auto) most impacted by stay-at-home, and social distancing orders, and trade tensions	• Manufacturing transformation (industry 4.0), including intelligent automation a key driver • Opportunities to aid the worker with technology to solve social distancing challenges (e.g. cobots, proximity sensing/tracking)

Sales Mix by Vertical



Agenda

01

Q1 Highlights

Anders Gustafsson, CEO

02

Q1 Financials and Q2 Outlook

Olivier Leonetti, CFO

03

Advancing our Vision, Market Trends

Anders Gustafsson, CEO

04

Q&A

Anders Gustafsson, CEO | Olivier Leonetti, CFO | Joe Heel, SVP Global Sales

Q&A



Appendix



Use of Non-GAAP Financial Information

This press release contains certain Non-GAAP financial measures, consisting of “adjusted net sales,” “adjusted gross profit,” “EBITDA,” “Adjusted EBITDA,” “Non-GAAP net income,” “Non-GAAP earnings per share,” “free cash flow,” “organic net sales growth,” and “adjusted operating expenses.” Management presents these measures to focus on the on-going operations and believes it is useful to investors because they enable them to perform meaningful comparisons of past and present operating results. The company believes it is useful to present Non-GAAP financial measures, which exclude certain significant items, as a means to understand the performance of its ongoing operations and how management views the business. Please see the “Reconciliation of GAAP to Non-GAAP Financial Measures” tables and accompanying disclosures at the end of this press release for more detailed information regarding non-GAAP financial measures herein, including the items reflected in adjusted net earnings calculations. These measures, however, should not be construed as an alternative to any other measure of performance determined in accordance with GAAP.

The company does not provide a reconciliation for non-GAAP estimates on a forward-looking basis (including the information under “Outlook” above) where it is unable to provide a meaningful or accurate calculation or estimation of reconciling items and the information is not available without unreasonable effort. This is due to the inherent difficulty of forecasting the timing or amount of various items that have not yet occurred, are out of the company’s control and/or cannot be reasonably predicted, and that would impact diluted net earnings per share, the most directly comparable forward-looking GAAP financial measure. For the same reasons, the company is unable to address the probable significance of the unavailable information. Forward-looking non-GAAP financial measures provided without the most directly comparable GAAP financial measures may vary materially from the corresponding GAAP financial measures.

As a global company, Zebra’s operating results reported in U.S. dollars are affected by foreign currency exchange rate fluctuations because the underlying foreign currencies in which the company transacts change in value over time compared to the U.S. dollar; accordingly, the company presents certain organic growth financial information, which includes impacts of foreign currency translation, to provide a framework to assess how the company’s businesses performed excluding the impact of foreign currency exchange rate fluctuations. Foreign currency impact represents the difference in results that are attributable to fluctuations in the currency exchange rates used to convert the results for businesses where the functional currency is not the U.S. dollar. This impact is calculated by translating, for certain currencies, current period results at the currency exchange rates used in the comparable period in the prior year, rather than the exchange rates in effect during the current period. In addition, the company excludes the impact of its foreign currency hedging program in the prior year period. The company believes these measures should be considered a supplement to and not in lieu of the company’s performance measures calculated in accordance with GAAP.

GAAP to Non-GAAP Organic Net Sales Growth Reconciliation

(Unaudited)

	Three Months Ended		
	March 28, 2020		
	AIT	EVM	Consolidated
Reported GAAP Consolidated Net sales growth	3.9%	(3.9)%	(1.3)%
Adjustments:			
Impact of foreign currency translation ⁽¹⁾	1.2%	1.5%	1.4%
Impact of acquisitions ⁽²⁾	(1.9)%	(0.5)%	(0.9)%
Organic Net sales growth	3.2%	(2.9)%	(0.8)%

- (1) Operating results reported in U.S. Dollars are affected by foreign currency exchange rate fluctuations. Foreign currency translation impact represents the difference in results that are attributable to fluctuations in the currency exchange rates used to convert the results for businesses where the functional currency is not the U.S. Dollar. This impact is calculated by translating the current period results at the currency exchange rates used in the comparable prior year period, inclusive of the Company's foreign currency hedging program.
- (2) For purposes of computing Organic Net sales, amounts directly attributable to the Temptime acquisition (included in our consolidated results beginning February 21, 2019), Profitect acquisition (included in our consolidated results beginning May 31, 2019), and Cortexica acquisition (included in our consolidated results beginning November 5, 2019) are excluded for twelve months following the respective acquisition dates.

GAAP to Non-GAAP Gross Margin Reconciliation

(In millions)
(Unaudited)

	Three Months Ended					
	March 28, 2020			March 30, 2019		
	AIT	EVM	Consolidated	AIT	EVM	Consolidated
<u>GAAP</u>						
Reported Net sales	\$ 371	\$ 681	\$ 1,052	\$ 357	\$ 709	\$ 1,066
Reported Gross profit ⁽¹⁾	181	293	473	184	318	501
Gross Margin	48.8%	43.0%	45.0%	51.5%	44.9%	47.0%
<u>Non-GAAP</u>						
Adjusted Net sales	\$ 371	\$ 681	\$ 1,052	\$ 357	\$ 709	\$ 1,066
Adjusted Gross profit ⁽²⁾	181	294	475	184	319	503
Adjusted Gross Margin	48.8%	43.2%	45.2%	51.5%	45.0%	47.2%

- (1) Consolidated results include corporate eliminations related to business acquisitions that are not reported in segment results.
(2) Adjusted Gross profit excludes purchase accounting adjustments and share-based compensation expense.

GAAP to Non-GAAP Net Income Reconciliation

(In millions, except share data)
(Unaudited)

	Three Months Ended	
	March 28, 2020	March 30, 2019
Net income	\$ 89	\$ 115
Adjustments to Cost of sales ⁽¹⁾		
Purchase accounting adjustments	—	1
Share-based compensation	1	1
Product sourcing diversification initiative	1	—
Total adjustments to Cost of sales	2	2
Adjustments to Operating expenses ⁽¹⁾		
Amortization of intangible assets	16	28
Acquisition and integration costs	1	4
Share-based compensation	5	12
Exit and restructuring costs	4	1
Product sourcing diversification initiative	4	—
Total adjustments to Operating expenses	30	45
Adjustments to Other expenses, net ⁽¹⁾		
Amortization of debt issuance costs and discounts	1	1
Investment gain	—	1
Foreign exchange loss	3	3
Forward interest rate swaps loss	35	8
Total adjustments to Other expenses, net	39	13
Income tax effect of adjustments ⁽²⁾		
Reported income tax expense	14	16
Adjusted income tax	(29)	(31)
Total adjustments to income tax	(15)	(15)
Total adjustments	56	45
Non-GAAP Net income	\$ 145	\$ 160
GAAP earnings per share		
Basic	\$ 1.66	\$ 2.14
Diluted	\$ 1.65	\$ 2.12
Non-GAAP earnings per share		
Basic	\$ 2.70	\$ 2.96
Diluted	\$ 2.67	\$ 2.92
Basic weighted average shares outstanding	53,760,873	53,905,426
Diluted weighted average and equivalent shares outstanding	54,318,044	54,554,868

(1) Presented on a pre-tax basis.

(2) Represents adjustments to the GAAP income tax expense commensurate with pre-tax non-GAAP adjustments (including the resulting impacts to U.S. BEAT/GILTI provisions) and to exclude the impacts of certain discrete income tax items.

GAAP to Non-GAAP EBITDA Reconciliation

(In millions)

(Unaudited)

	Three Months Ended	
	March 28, 2020	March 30, 2019
Net income	\$ 89	\$ 115
Add back:		
Depreciation	18	19
Amortization of intangible assets	16	28
Total Other expenses, net	48	28
Income tax expense	14	16
EBITDA (Non-GAAP)	185	206
Adjustments to Cost of sales		
Purchase accounting adjustments	—	1
Share-based compensation	1	1
Product sourcing diversification initiative	1	—
Total adjustments to Cost of sales	2	2
Adjustments to Operating expenses		
Acquisition and integration costs	1	4
Share-based compensation	5	12
Exit and restructuring costs	4	1
Product sourcing diversification initiative	4	—
Total adjustments to Operating expenses	14	17
Total adjustments to EBITDA	16	19
Adjusted EBITDA (Non-GAAP)	\$ 201	\$ 225
Adjusted EBITDA % of Adjusted Net Sales	19.1%	21.1%

GAAP to Non-GAAP Free Cash Flow Reconciliation

(In millions)
(Unaudited)

	Nine Months Ended	
	March 28, 2020	March 30, 2019
Net cash provided by operating activities	\$ 108	\$ 42
Less: Purchases of property, plant and equipment	(13)	(15)
Free cash flow (Non-GAAP) ⁽¹⁾	\$ 95	\$ 27

- (1) Free cash flow is defined as Net cash provided by operating activities in a period minus purchases of property, plant and equipment (capital expenditures) made in that period. This measure does not represent residual cash flows available for discretionary expenditures as the measure does not deduct the payments required for debt service and other contractual obligations or payments for future business acquisitions. Therefore, we believe it is important to view free cash flow as a measure that provides supplemental information to our entire statements of cash flows.